



IMPLEMENTING RULES AND REGULATIONS

Policy No. 07-2004 (PBAC)

1. RESPONSIBILITY AND AUTHORITY OF THE PBAC

The PBAC shall be responsible and shall have the authority to conduct public/sealed bidding process of the cooperative including but not limited to the following:

- a) Publication and dissemination of the Call for Bids;
- b) Conduct the Pre-Bid Conference
- c) Review and evaluate suppliers' documents for accreditation
- d) Review and evaluate suppliers' previous performance
- e) Issue or suspend, through the PBAC Chairman, the accreditation of supplier/s;
- f) Recommend imposition of appropriate sanctions and/or penalties to erring suppliers;
- g) Prepare the necessary bid documents;
- h) Accept and open Bid Documents and Bid Proposals; and
- i) Grant or deny requests for extension of time to deliver.

2. CALL/INVITATION FOR BIDS

The Call for Bids shall be the responsibility of the PBAC and shall be given the widest publicity possible through telephone, facsimile, print advertisement, letters invitation to existing suppliers, posting in BENECO Bulletin boards, and/or other forms of publicity. For print advertisement, it should be in a newspaper of national circulation and at least two (2) times within a reasonable period. In no case should the advertisement be less than two (2) weeks before the opening of bids.

3. PRE-BID CONFERENCE

A pre-bid conference shall be conducted before the actual submission and opening of bids to provide bidders an opportunity to make clarifications as to the meaning or interpretation of any part of the bid document before its submission. The prospective bidders shall also be informed of the terms and conditions required by the PBAC (e.g. validity of the offer/proposal). The same shall be conducted and held at the date, time and place designated by the PBAC. Only those suppliers with active accreditation shall be allowed to join the pre-bid conference. Prospective bidders not yet accredited by BENECO should submit the requirements for accreditation together with the bid proposals. If needed, a plant/office visit shall be scheduled and conducted by the PBAC after the Pre-Bid Conference.

4. ACCREDITATION

All prospective bidders should seek accreditation from BENECO. Bidders/Suppliers/Contractors who are inactive (those previously accredited but have not updated the requirements for accreditation) or not yet accredited by BENECO shall not be allowed to participate in the bidding. Accreditation is valid for a period of twelve (12) months from the date of accreditation.

Bidders/Suppliers/Contractors can seek BENECO accreditation by submitting to the PBAC the following requirements:

- a) Letter request seeking accreditation;
- b) Company Profile;
- c) Employment Certificate (for individuals);
- d) Income Tax Return for the last three (3) years;



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- e) Audited Financial Statements for the last three (3) years;
- f) List of Clients
- g) PCAB License (for contractors)
- h) Line of Products and Specialization; and
- i) Certification of Sole Distributorship or Authorized Dealership from the mother company, if applicable

The Pre-Bid and Award Committee (PBAC) may, at any time, conduct plant/office or warehouse visitation. Accreditation may be extended to any supplier at any given time provided that they submit the requirements as a means to be continuously accredited.

The PBAC, through the Chairman, shall issue a Certification of Accreditation to each supplier/contractor after evaluation and approval of their request for accreditation.

5. **BID DOCUMENTS**

There shall be a common bid form to be used. All interested bidders should secure from the BENECO PBAC the bid documents and other instruction materials, specifications, etc. for a minimal fee.

6. **SUBMISSION AND ACCEPTANCE OF BID DOCUMENTS**

On or before the time and date of the opening of the bids, bidders shall submit their bids in sealed envelopes with the office of the PBAC Chairman who shall stamp thereon the time and date of receipt. These documents should be in strict compliance with those discussed during the pre-bid conference.

a) Technical Papers

This is a description of the bid as contained in the bid documents. All submitted documents are final. Alterations, corrections, amendments, changes and addenda to the bid proposals after submission shall not be allowed.

b) Bid Proposals

The bid proposal should indicate the amount, terms of payment, and other conditions appropriate. Alterations, corrections, amendments, changes, and addenda to the bid proposals after submission shall not be allowed.

c) Bid Bond

A bid bond equivalent to ten (10%) percent of the total cost of the items they intend to bid or One Million (P1,000,000.00) Pesos, whichever is lower, is required, either in the form of manager's check or cashier's check upon the submission of the offer/proposal. Any bid proposal without the required bid bond shall not be accepted.

Bids submitted after the specified time and date of submission of bids shall not be accepted. However, quotations from those who failed to attend the Pre-Bid Conference that were submitted before the opening of sealed bids shall be considered as a means to deter collusion of the participants in the sealed bidding.



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7. OPENING OF BIDS

All bids submitted and accepted shall be opened at the time, date, and place set in the call for bids by the PBAC. When the date of the opening of bids is declared a national holiday, it is understood that the bids shall be opened on the following working day at the same time and place.

If in the opening of bids there are bid offers/proposals that are not signed and/or do not conform to the specifications and descriptions of the materials, equipment, supplies, and/or work to be undertaken as discussed during the pre-bid conference, these bid offers/proposals shall be declared as "NON-COMPLYING BIDS" and shall be rejected.

Postponement of the opening of bids is strictly prohibited. However, if the PBAC deems it necessary to postpone the opening of bids due to compelling and justifiable reasons, it shall not notify all the prospective bidders accordingly no later than two days before the re-scheduled time and date of opening of bids.

8. FAILURE OF BIDDING

There should be a minimum of three (3) qualified bid offers/proposals submitted to and accepted by the PBAC for the bidding to pursue. A failure of bidding shall be declared if the minimum number of qualified bids/proposals is not satisfied. In case of failure of bidding, the PBAC shall schedule another bidding following the same procedure starting from the Call for Bids. If a failure of bidding occurs the second time, the PBAC may recommend the procurement through negotiated purchase/contract in accordance with these rules and regulations.

9. SUBMISSION OF PBAC REPORT AND RECOMMENDATION

The PBAC shall evaluate the bid proposals of the prospective bidders and within fifteen (15) calendar days from the opening of the bids, the PBAC shall render its report and recommendation to the General Manager for his appropriate action.

Copies of the PBAC's recommendation should also be made available to all participating bidders and PBAC members.

In the evaluation, the PBAC should take into account the following criteria:

- a) The bid proposal/offer should meet all the specifications as indicated in the bid documents (35%);
- b) The bid proposal/offer should meet the delivery requirements specified in the bid documents (35%);
- c) The bid proposal/offer gives the most competitive cost available (30%).

10. PROTEST AND PROTEST BOND

Any bidder may file a protest against the result of the bidding with the office of the Board of Directors within seven (7) calendar days from the date of receipt of the result. The protest shall be in writing based on justifiable grounds and accompanied to ten (10%) percent of the total value of the contested items but not to be less than Twenty Thousand (P20,000.00) Pesos. The protest bond is not



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refundable. Within seven (7) calendar days from receipt of the protest, the Board of Directors shall render a decision on the protest and the decision shall be final and executory.

If no written protest is received within seven (7) calendar days period within which to file a protest, the PBAC recommendation shall be acted upon by the Board of Directors and whose decision shall be final and executory.

11. AWARD

The award of contracts for the supply of materials, equipment, supplies and contracts of work shall be recommended by the PBAC for the approval of the General Manager and the Board of Directors. The PBAC shall immediately inform in writing all the bidders of the decision and approval of the Board of Directors of the result of the bidding.

12. ISSUANCE OF PURCHASE ORDER OR EXECUTION OF CONTRACT

After the decision of the Board of Directors becomes final and executory, the Purchase Order of Contract of Work shall be prepared in accordance with the manual of operations.

13. SANCTIONS FOR REFUSAL TO ACCEPT AWARD

A winning bidder who refuses to accept the award without justifiable reason shall be penalized for ten (10%) percent of the Bid Bond and shall be barred from the participating in future biddings.

14. RELEASE OF BIDDER'S BOND

Immediately after the declaration of award to the winning bidder/s, the bidder's bond of the unsuccessful bidders shall be processed for refund. On the other hand, the bidder's bond of the winning bidder/s shall be released only upon the serving of the Purchase Order of execution of the Contract and the filing of the performance bond.

15. RECEIPT OF PURCHASE ORDER/CONTRACT

The Purchase Order/Contract shall be released only to, and signed for by the supplier or his/her duly authorized representative after posting the required Performance Bond.

16. PERFORMANCE BOND

The Performance Bond shall be fixed at ten (10%) percent of the value of the contract or Purchase Order.

17. SUBSTITUTION OF SUPPLIES

Substitution of materials, equipment and supplies called for in the Purchase Order or Contract is strictly prohibited and shall not be allowed.

18. EXTENSION OF TIME TO DELIVER

Request for extension of time to deliver beyond the period stipulated in the Purchase Order or contract shall be granted by the Office of the General Manager only in the following cases:

- a) force majeure;
- b) when failure to make delivery is due to an act or order of the government;



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c) other justifiable reasons beyond the control of the contractor or supplier. However, the contractor or supplier should submit the request for extension of time to deliver to BENECO not later than ten (10) working days prior to the scheduled delivery date. A penalty of $\frac{1}{2}$ of 1% of the cost of the items to be delivered per day of delay shall be imposed on the contractor/supplier.

19. SUBMISSION AND APPROVAL OF INSPECTION REPORTS

The end-user/requesting party, acting with the authority of his/her department manager, shall promptly submit inspection and acceptance reports to their respective department managers for evaluation and approval. Copies of the reports should be submitted within two (2) days from the delivery of the items purchased which shall form part of the supporting paper of the disbursement vouchers covering the payments of the purchase.

20. SEPARABILITY AND REPEALING CLAUSE

Any provision of these rules and regulations promulgated earlier found to be inconsistent or in conflict with any of the provisions of this policy shall be deemed repealed, modified and/or amended accordingly.

21. EFFECTIVITY

These rules and regulations shall take effect upon approval by the Board of Directors.

Certified True and Correct:

NORMA T. PARADO
Secretary

Attested:

RIMANDO D. ANGUITAY
President



BENGUET ELECTRIC COOPERATIVE, INC.
Alapang, La Trinidad, Benguet

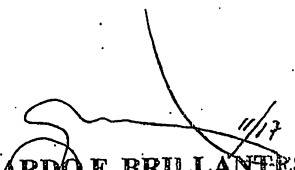
MEMO :
FOR : THE EXECUTIVE PLANNING OFFICER
ALL DEPARTMENT MANAGERS
THE EXECUTIVE ASSISTANT
SUBJECT : APPROVED BENECO POLICIES
DATE : 17 November 2005

May we respectfully furnish your good office the following personnel welfare and operational policies approved by the BENECO Board of Directors for implementation in the cooperative, to wit:

1. Policy No. 01-2005 - Providing benefits and privileges to solo parent employees.
2. Policy No. 02-2005 - Granting paternity leave to all married male employees.
3. Policy No. 03-2005 - Granting leave benefits to a woman employee who is a victim of violence.
4. Policy No. 04-2005 - Promotion of a drug-free workplace.
5. Policy No. 05-2005 - Prevention of the commission of acts of sexual harassment.
6. Policy No. 06-2005 - Prevention and control of HIV/AIDS.
7. Un-numbered - Policy on Budget.

Kindly disseminate these new policies to all employees in your respective departments for their information and guidance.

For your consideration and appropriate action.


EDUARDO F. BRILLANTES
HRMDD Manager

cc: OGM/All Depts /Corplan/ file



BENGUET ELECTRIC COOPERATIVE, INC.
Alapang, La Trinidad, Benguet

March 14, 2005

MEMORANDUM:

TO : **ALL EMPLOYEES**

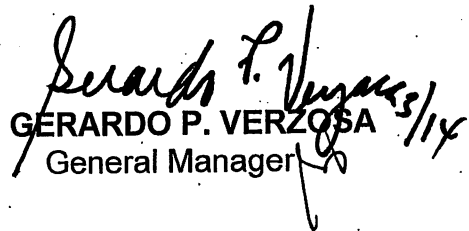
SUBJECT : **LONGEVITY PAY PROGRAM**

This is to inform you that Board Resolution No. 01-2005 and Board Policy 02-2005 which provide for a Longevity Pay Program for BENECO employees, ~~was~~ approved by the National Electrification Administration (NEA) on March 10, 2005 and shall take effect on March 16, 2005.

In view of this, please be guided by the following:

1. All regular employees shall be granted one (1) step increase for every five (5) years of continuous service with the Cooperative reckoned from date of hiring;
2. The "*fraction of 6 months to be considered as one (1) year*" scheme does not apply in this program.

For proper guidance.


GERARDO P. VERZOSA
General Manager

cc: agm
all depts.
bsa
belu
admin
acctng
mis
file

POLICY No. 01-2005

PURPOSE:

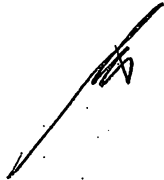
To establish a policy providing for benefits and privileges to solo parent employee/s and their children, appropriating funds therefor and for other purposes.

INTRODUCTION:

Republic Act No. 8972 otherwise known as the "Solo Parents Welfare Act of 2000" requires employers either in the private or public sectors to grant benefits and privileges to solo parent employee/s who fall under any of the following categories:

1. A woman who gives birth as a result of rape or crime against chastity, even without a final conviction of the offender provided that the mother keeps and raises the child;
2. Parent left solo or alone with the responsibility of parenthood due to death of spouse;
3. Parent left solo or alone with the responsibility of parenthood while the spouse is detained, or is serving sentence for a criminal conviction for at least one (1) year;
4. Parent left solo or alone with the responsibility of parenthood due to physical and/or mental incapacity of spouse as certified by a public medical practitioner;
5. Parent left solo or alone with the responsibility of parenthood due to legal separation or *de facto* separation from spouse for at least one (1) year. Provided, that he/she is entrusted with the custody of the children;
6. Parent left solo or alone with the responsibility of parenthood due to declaration of nullity or annulment of marriage as decreed by a court or by a church. Provided, that he/she is entrusted with the custody of the children;
7. Parent left solo or alone with the responsibility of parenthood due to abandonment of spouse for at least one (1) year;
8. Unmarried mother/father who has preferred to keep and rear his/her child/children instead of having others care for them or give them up to a welfare institution;
9. Any other person who solely provides parental care and support to a child/children provided he/she is duly licensed as a foster parent by the DSWD or duly appointed legal guardian by the court;
10. Any family member who assumes the responsibility of head of family as a result of the death, abandonment, disappearance or prolonged absence of the parents or solo parent. Provided, that such abandonment, disappearance or absence lasts for at least one (1) year.

POLICIES:

1. The employer shall provide for a flexible work schedule for solo parent employee/s provided that the same shall not affect individual and company productivity. Provided further, that the employer may request exemption from this requirement from the DOLE on certain meritorious grounds.
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2. Parental leave of not more than seven (7) days every year shall be granted to any solo parent employee provided he/she has rendered at least one (1) year of service whether continuous or broken at the time of the effectivity of this policy and has notified his/her employer of the availment thereof within a reasonable time period. The seven-day parental leave shall be non-cumulative.
3. In the event that the parental leave is not availed of, said leave shall not be convertible to cash unless specifically agreed upon previously.
4. Emergency or contingency leave granted under the cooperative's policy or under the collective bargaining agreement shall not be credited as compliance with the parental leave provided for under this policy.
5. Educational benefits like scholarship programs of basic, tertiary and technical/skills education shall be granted to qualified solo parent employee and his/her children.

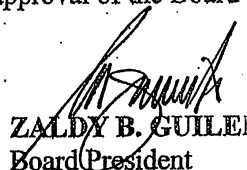
IMPLEMENTATION:

The General Manager shall be responsible in the implementation of this policy.

EFFECTIVITY:

This policy shall take effect immediately upon the approval of the Board of Directors.


NORMA T. PARADO
Secretary of the Board


ZALDY B. GUILENG
Board President

Approved per Board Resolution No. 115-2005 dated October 7, 2005.